5-4d Balance Sheet

The balance sheet for NetSolutions is shown in Exhibit 15. Inventory and estimated returns inventory are reported as current assets. In addition, customer refunds payable and the current portion of the note payable of $5,000 are reported as current liabilities.

Exhibit 15

Balance Sheet for Retail Business

NetSolutions
Balance Sheet
December 31, 20Y8

Assets			
Current assets:			
Cash		$ 52,650	
Accounts receivable		91,080	
Inventory		62,150	
Estimated returns inventory		5,300	
Office supplies		480	
Prepaid insurance		2,650	
Total current assets			$214,310
Property, plant, and equipment:			
Land		$ 20,000	
Store equipment	$27,100		
Accumulated depreciation	(5,700)		
Book value		21,400	
Office equipment	$15,570		
Accumulated depreciation	(4,720)		
Book value		10,850	
Total property, plant, and equipment			52,250
Total assets			$266,560
Liabilities			
Current liabilities:			
Accounts payable		$ 12,466	
Customer refunds payable		7,954	
Estimated coupons payable		2,000	
Note payable (current portion)		5,000	
Salaries payable		1,140	
Unearned rent		1,800	
Total current liabilities			$ 30,360
Long-term liabilities:			
Note payable (long-term portion)			20,000
Total liabilities			$ 50,360
Stockholders' Equity			
Common stock		$ 30,000	
Retained earnings		186,200	
Total stockholders' equity			216,200
Total liabilities and stockholders' equity			$266,560

Link to Dollar Tree

On a recent balance sheet, **Dollar Tree** reported inventory as a current asset and the current portion of long-term debt as a current liability.

Ethics in Action

The Cost of Employee Theft

A survey of 21 large retail businesses estimated that over $4 billion is lost to shoplifting and employee theft. The stores apprehended almost 10 times the number of shoplifters (315,095) than dishonest employees (32,941). However, the average amount stolen by dishonest employees ($1,380.62) was over 4.5 times the average amount stolen by shoplifters ($288.71). In some cases, stores were able to recover the thefts, but it was estimated that for every $1.00 recovered, $14.75 was lost. Fewer sales associates and more store reliance on customer self-service may be contributing to shoplifting. Less supervision of employees and the ability to sell stolen merchandise online may be contributing to employee thefts.

Source: *Jack L. Hayes International Inc., 32nd Annual Retail Theft Survey, 2020.*